

“Developers must now be ready to lower their selling prices in order to revive demand.”

ANUJ PURI,
Chairman & Country
Head, Jones Lang
LaSalle Meghraj

2008, 62,595 flats were purchased in Mumbai compared to 74,555 in the same period in the previous year. Real estate specialists claim that compared to 2006-07, there has been a 30 per cent drop in transactions this year. Says Ashu Dutt, managing director of Celedon Re, Asia Institutional Real Estate Advisors: “We see a slowdown in completions and fewer new residential projects. We expect a significant drop in luxury condominiums in the suburbs.”

Accustomed to profit margins of over 40 per cent, developers are sitting on loans at 24 per cent interest. In market conditions, where the RBI has sucked out 25 per cent money supply from the banking system, neither consumers nor investors have the funds to pay a premium for property, which is fetching returns lower than fixed deposits. The crunch comes in the wake of excess. Worried about speculation driving asset price inflation higher, the RBI had, in the third quarter of 2006-07, increased bank provisioning for loans to real estate sector to 2 per cent, resulting in higher cost of borrowing for realtors. Many builders, who rampantly invested in the peripheries of major metros using leveraged funds to make a quick buck, are now stuck with

large, expensive land banks. While genuine buyers are still willing to pay a premium for upscale neighbourhoods, nobody—not even investors—are any longer willing to pay unrealistic prices.

The situation is expected to worsen with the global meltdown of Lehman Brothers and sale of Merrill Lynch. Last year, Lehman had invested \$200 million (Rs 925.5 crore) in DLF promoter group company DLF Assets and bought 50 per cent stake in Unitech's Mumbai project for \$175 million (Rs 810 crore) in 2008. The investment bank has also invested \$80 million (Rs 370 crore) in Bangalore-based special economic zone (SEZ) Gandhi City and had plans to hike its share to \$300 million (Rs 1,388 crore) later this year. Lehman's other investments include a 40 per cent stake in an IT park project of Peninsula Land in Hyderabad for an initial investment of Rs 50 crore. It had also teamed up with Mumbai-based developer HDIL to bid for the redevelopment of Asia's largest slum Dharavi.

The debate now, therefore, is whether the slide round the corner will be a correction or a crash. Buyers are clearly hoping it to be a crash. As always, the buzz is ahead of the expected

SANJAY KUMAR



VIKAS GUPTA, 30

Works for a financial services company
MOHALI

Purpose of Property: PERSONAL USE

Gupta has advanced his decision to buy a property by a couple of years, thanks to the EMI holiday offered by Ansal API. As per the tripartite agreement among the developer, financier and the buyer, the latter pays only 20 per cent of the agreed value of the property upfront. The builder pays the financier only the interest component on the mortgage amount till the flat is ready and the financier gives the entire amount of the sanctioned loan to the builder upfront. Thus, the builder gets a cheap working capital and the buyer has a sweetened deal to die for.

“I decided to buy as I don't have to pay rent and an EMI while the project is under development. It's a win-win situation for all.”